DIGITAL ASSETS

STIRLING & ROSE

// A DEFINING ASSET CLASS FOR THIS MILLENNIA

THE FUTURE GLOBAL ECONOMY WILL BE BUILT ON DIGITAL ASSETS

STIRLING & ROSE
SPRING 2022

DIGITAL ASSETS? DO YOU MEAN BITCOIN?

Digital assets are more than just bitcoin, they are a broad church of code based assets.

Digital assets can be anything from a digital representation of a fish, to a self-programmable song, to a digital dollar. There are endless possible variations in digital assets.

A new generation of unicorns are rising with business models based on the trading and servicing of digital assets.

Organisations are experimenting, but bigger use cases are coming.

The law can help you own, protect and gain real time insights into your digital assets.

EVOLVING REGULATION

Digital assets are increasingly being incorporated into existing and expanding global legal and regulatory frameworks based on the features, rights and obligations that accompany them. Corporate law already exists in most established jurisdictions, requiring entities that deal in financial products & services to have appropriate licences.

Code is the ultimate potter's clay - attempts to create static legal categories for digital assets is a fool's errand. A digital lottery ticket can become a digital child's toy with the right editing rights. But a lottery ticket and a child's toy have very different risk profiles and therefore different legal and regulatory requirements. Legal issues may cover many different activities, entities and relationships. Sometimes, analogue law does not fit neatly into the digital realm and traditional assumptions may not be accurate.

Perhaps most importantly, you cannot assume you can delegate your legal rights and obligations to a machine or algorithm.

INTO THE UNKNOWN

Digital assets are assets that are made of code. They do not exist in the physical and (for now) they are not tangible.

The destruction of digital assets also requires code. From weaponised cybersecurity hacks to use of the humble delete button, secure digital assets requires secure & trusted infrastructure.

Digital assets are exponentially increasing in volume and complexity, with the digital economy predicted to account for 30% of value in the global economy by 2030.

Although they only exist in cyberspace, digital assets are recognised by the law as real.

Much like databases, digital assets can grow and change, and as a result can be complex to own and control. Nonetheless, their perceived value has necessitated that the law recognise them.

BIG TICKET SHIFTS

As the digital asset ecosystem grows, so does the opportunity for business. Future digital asset use cases include:

1. Private & tradeable property in an increasingly immersive cyberspace, for example in-game and metaverse assets.

2. Enterprise level smart (and legal) contracts like leases, bonds and project contracts.

3. Complex Money: Endlessly divisible, endlessly replicable, programmable, composable, data producing and collecting money which can provide real time accurate revenue sharing.

LEGAL ISSUES IN DEALING WITH DIGITAL ASSETS

Those with an interest in issuing, dealing, investing in or servicing digital assets and platforms should consider the following legal questions:

Financial Products and Services, Liquidity, Collateral and Custody Guidelines

Do my digital assets have lending or credit style features? What traditional financial services or market licences do I need?

Property Rights: are Digital Assets property?

Can I define and defend my ownership over this property? Can I trade this property and realise gains and losses over it?

ESG, Human Rights and Anti-discrimination Laws

Can I imprison a smart contract avatar that resembles my employee? Are my digital assets running on an environmentally friendly platform?

AML and CTF

Do my digital assets have terrorism or anti-money laundering risks and obligations?

Consumer Protections
Are the statements about my digital assets true? Does this digital asset business enable a safe environment for consumers, prevent litigation, backlash and reputational damage?

Cybersecurity and Privacy Laws

Am I ensuring that data and data flows around my digital assets or digital asset business are protected for the right people at the right time? When there is a breach, do the right people know about it?

Gambling and Gaming

Do I have any traditional licensing obligations around cyber gambling and gaming?

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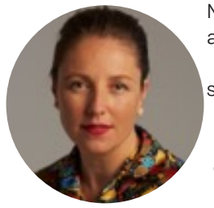
CREDENTIALS

A WORLD CLASS TEAM

TOP TIER EXPERTISE WITH
BOUTIQUE SERVICE



Natasha Blycha - Managing Director
Natasha is one of the world's pre-eminent Blockchain experts and CEO of a blockchain company. The former Global Head of a 100+ Digital Law practice of a major international law firm spanning 15 offices, Natasha is regarded as the 'go to' lawyer on blockchain and digital assets, web 3.0, digital ethics and human rights. She advises government and regulators, sits on the Law Council Digital Commerce Committee; Co-author of Oxford SLC text; Financial Times Most Innovative Lawyer.

James Myint - Founding Partner
James was the Australian Head of a major international law firms Digital Law practice. A banking and finance expert, he has significant local and global experience in high complexity, first of their kind transactions with a cross jurisdictional focus, working in New York, Tokyo and Sydney. He advises banks and financial institutions, specializing in Smart Legal Contracts, CBDCs, DeFi, digital investments and novel financings.

Dr Jason Allen - Founding Partner
Jason is widely recognized as a leading expert on digital platforms and financial systems architecture. He has advised central banks, regulators, and technology companies in Europe, the USA and APAC. Author of the seminal text on SLCs together with leading publications on blockchain and DLT, the role of law in cyberspace and machine learning. Jason has vast cross jurisdictional expertise on Digital Assets, FinTech and RegTech.

Jenny Kiss - Founding Partner
Jenny is an experienced General Counsel and Senior Executive with over 30 years expertise in law, governance and strategic corporate advisory in the private and public sectors. She has deep experience with Boards and implementing major legal projects across industries and rights for Indigenous Australians. Jenny specialises in emerging tech law and legal risk management to transform traditional business operations.

Rachel Howard - Chief Operations
Rachel was the Head of Frontier Technology, a tech policy initiative, and a former senior McKinsey consultant. Rachel specialises in operating model design, digital transformation, AI risk, governance, data stewardship & data focussed impact investments.